Annual turnover
₹750 crore *(FY25)*

No. of employees
7,000

Total exports to the US
₹750 crore *(FY25)*

Likely loss due to the US tariffs
Closure of business

For Tony Uppal, who owns five apparel factories in Faridabad, the Trump tariffs spell complete doom. "It is a breaking point for our business," he says. He exports exclusively to the United States, and the steep levy threatens to price Indian garments out of contention. They will cost the American consumer 30 per cent more compared to the garments from Bangladesh and Vietnam, which face a tariff of 20 per cent. American brands are unlikely to absorb the added cost and will simply shift sourcing elsewhere. "If we absorb the 30 per cent cost differential, we'll be bankrupt in three months," says Uppal, whose business operates on a thin 5–6 per cent margin anyway.

The worst is already coming to pass. India specialises in spring and summer apparel, with orders typically placed by September for delivery the following March. This year, there has been a grim silence so far.

As for casting the net wider, Uppal laments, "There is no alternative market, irrespective of what one says." Consumer preferences, design sensibilities and retail cycles vary across geographies. It takes years to enter and settle into a new market. If things do not change soon, the first thing he'll have to do is reduce headcount, says Uppal. "Beyond that, we may have to shut down within the month." ■

Photograph by BANDEEP SINGH



VICTIMS OF TRUMP TARIFFS

GEMS & JEWELLERY

DIAMONDS TO DUST

Already under threat from lab-grown diamonds, Indian diamantaires stare at a certain abyss as US levies hurt exports

BY JUMANA SHAH

↘ **The Fallout:** The Indian diamond industry, spanning polishing, jewellery-making and trading, has been hammered by the latest US tariffs. The US is India's single-largest market, accounting for over $10 billion (over Rs 88,000 crore) in exports, or 63 per cent of the nearly $16 billion (Rs 1.4 lakh crore) of India's cut and polished natural diamonds exports in FY25. Industry leaders warn the stalled shipments alone could cost thousands of crores.

The Gem and Jewellery Export Promotion Council (GJEPC) has termed the tariffs "simply unsustainable". Insiders say the industry has already been in free fall for five years—owing to the sanctions on Russian roughs, a post-COVID slump and market loss to cheaper lab-grown diamonds. Exports to the US are projected to fall by more than 75 per cent in FY26.

INDIA'S EXPORTS TO THE US
$10 billion
(approx. ₹88,000 cr.)

TOTAL JOBS IMPACTED
100 thousand